



MASTER INSURANCE POLICY
FOR CONDOMINIUM DEPOSITS

VENDOR: 1201 – 1215 PHILLIPS SQUARE PHASE II
DEVELOPMENT LIMITED PARTNERSHIP

POLICY NO.:10036774

1. This insurance policy executed by the authorized signing officers of **Travelers Insurance Company of Canada** (hereinafter referred to as the “**Surety**”) shall become effective on the later of i) the expiration of the 10 day period following the execution of the Purchase Agreement by the purchaser or ii) the date of the first deposit made by the purchaser under the Purchase Agreement. Any capitalized terms herein shall have the meaning as set out in the definitions on the reverse side hereof or as provided for herein, unless otherwise provided.

INSURED: Each of the unit purchasers in the condominium project identified below, in respect of the Deposits, which may be amended, updated or added to from time to time.

CONDOMINIUM PROJECT: A residential condominium project comprising approximately **441** residential units, together with parking, locker and other ancillary units, being developed by the Vendor on the lands municipally located at, 1 Phillips Square, Montréal in the province of Québec and marketed as **1 Square Phillips** (the “Condominium Project”).

2. The Vendor hereby agrees to pay the premium for this insurance policy to the Surety, on behalf of the Insured.

In consideration of the Vendor’s agreement to pay the premium for this insurance policy to the Surety, on behalf of the Insured, and subject to the terms and conditions set forth on the reverse side hereof, the Surety hereby insures the Insured in respect of that excess portion of the Deposits received by the Vendor or its solicitors from the Insured which are not covered by any Warranty Plan covering the Condominium Project which may become owing by the Vendor to the Insured in accordance with the terms of the Purchase Agreement or under the terms of the law.

IN WITNESS WHEREOF the Surety and the Vendor have duly executed this insurance policy on the 7th day of June 2022

1201 – 1215 PHILLIPS SQUARE PHASE II DEVELOPMENT
LIMITED PARTNERSHIP by its general partner 1201-1215
PHILLIPS SQUARE PHASE II DEVELOPMENT GP INC.

Per: 
Name: Kheng Ly
Title: Secretary, President

Per: _____
Name:
Title:

I/We have authority to bind the Corporation

TRAVELERS INSURANCE COMPANY OF CANADA

Per: 
Name: Howard P. Friedman
Title: Vice President & CUO, Residential Surety

Per: 
Name: TJ Musselman
Title: Sr. Underwriter, Developer Surety

I/ We have authority to bind the Corporation

Notices under this policy must be provided to the attention of the Surety as follow:

1010 rue de la Gauchetière Ouest
Bureau 1100
Montréal, QC H3B 2N2

INTERPRETATION

- 1.1Definitions - In this Policy, unless the context otherwise requires, the following terms shall have the following meanings:
- (a)Act” means the Civil Code of Québec as amended and supplemented from time to time, and any reference herein to any section or subsection thereof shall be deemed to be a reference to the section or subsection as at the time in question, amended or supplemented or to the successor section or subsection thereof, if the same has been repealed.

(b)“Deposits” means all money received by the Vendor or prescribed trustee or the Vendor’s solicitor from the Insured on account of the Purchase Agreement, or with respect to reserving a right to enter into a Purchase Agreement, other than:

(i)money paid thereunder as rent or as an occupancy fee; and

(ii)money received on account of the purchase of personal property that is not permanently affixed to the land or the proposed unit; and

(iii)monies insured under another deposit receipt or protection issued by a third-party insurance, financial institution or Warranty Plan including but not limited to, the Warranty Plan Coverage.

(iv)Upgraded Monies (as hereinafter defined).

(c)“Insured” means each of those unit purchasers identified or referenced in any schedule(s) attached to this master policy, and includes each unit purchaser’s heirs, estate trustees or other personal representatives, successors and assigns.

(d)“Policy”, “policy”, “hereto”, “herein”, “hereby” and similar expressions mean or refer to this master policy, and any schedule(s), endorsement(s), rider(s) or other instrument(s) supplemental or ancillary hereto.

(e)“Purchase Agreement” means any agreement of purchase and sale, as amended from time to time, with respect to a proposed residential unit in the Condominium Project identified on the face hereof, and its proportionate interests in the common portions thereof, entered into between the Vendor and the Insured.

(f)“Upgraded Monies” means all money received by the Vendor, prescribed trustee or the Vendor’s solicitor from the Insured in connection with extras or upgrades installed (or to be installed) as permanent fixtures within (or appurtenant to) the proposed residential unit acquired by the Insured from the Vendor, and paid or payable under the Purchase Agreement or by way of a separate agreement or invoice with the Vendor, and which Upgraded Monies are not considered to be Deposits.

(g)“Vendor” means the person named as such on the face hereof, and includes its successors and assigns.

(h)“Warranty Plan” means the third party warranty plan subscribed by the Vendor for the Condominium Project which provides for certain protections in favor of the Insured in order to ensure the performance of the Vendor’s obligations including, but not limited, to construction, inspections and Deposits.

(i)“Warranty Plan Coverage” means the maximum coverage amount of the money received by the Vendor from the Insured on account of the Purchase Agreement as described in the Warranty Plan as this maximum coverage applies to each residential unit and for the Condominium Project globally.

1.2Extended Meanings – This policy shall be read and construed with all changes in gender and/or number as may be required by the context.

1.3Headings - The insertion of headings in this policy is for convenience of reference purposes only, and shall not affect the construction or interpretation of this Policy.

2. TERM OF POLICY

This Policy shall become effective as of the date stated above and shall remain in full force and effect, subject to the provisions of paragraph 6 hereof.

It is expressly acknowledged and agreed that the execution of this Policy (and any schedules annexed hereto), as well as the performance, fulfillment and/or execution by each of the Surety and the Vendor of their respective obligations arising hereunder (including without limitation, the provision and delivery of any notices and/or documents that may otherwise be required to be in writing) may be made or manifested in an electronic format and by way of an electronic signature undertaken by or through a computer program or any other electronic means.

Each of the parties hereto further acknowledges and agrees that this Policy may be executed via facsimile transmission (and that the execution of a faxed version hereof by either or both of the Vendor and the Surety shall have the same force and effect as if same were originally executed), and that a photocopy or faxed copy of this executed Policy may be relied upon by each of the Vendor, the Surety and the Insured to the same extent as if it were an original executed version addressed specifically to each of them.

3. DEPOSITS

It is acknowledged and agreed that this Policy shall extend and apply only to that portion of the Deposits actually received by the Vendor, the prescribed trustee or the Vendor’s solicitor in excess of the Warranty Plan Coverage prior to an event giving rise to a cessation of liability described under Section 6, as reflected or confirmed in the schedule or schedules attached hereto.

4. CLAIMS

4.1Notice of Default and Proof of Loss - If the Deposits shall become properly owing by the Vendor to the Insured upon the failure to meet the agreed upon delivery date or occupancy date as stated in the Purchase Agreement, and if the Vendor shall fail to pay the same to the Insured in accordance with the terms of the Purchase Agreement, then the Insured shall :

- give prompt written notice thereof to the Surety referring to this Policy by number;
- identify the Condominium Project;
- provide copy of the executed Purchase Agreement;
- provide a proof of all Deposits paid;
- provide a proof of the refusal by the Vendor to reimburse the Deposits or the failure of the Vendor to respond to the Insured’s request;
- provide a copy of the claim filed by the Insured with the Warranty Plan;
- briefly describe the nature of the default to remit the Deposits by the Vendor,

the Surety shall, immediately upon receipt of such notice and associated documents and information listed above, furnish to the Insured forms upon which to make the proof of loss hereunder in accordance with Section 4.5.

4.2Disputes Between Vendor and Insured - In the event of any dispute between the Vendor and the Insured as to the liability of the Vendor to pay any Deposits, resulting in the withholding by the Vendor of any payment on account of Deposits or resulting in the Vendor claiming a set-off or similar legal right, then in such circumstances no claim by the Insured shall be paid hereunder unless and until such dispute shall have been finally resolved by binding arbitration or by the decision of an Québec court of competent jurisdiction.

4.3Disputes between the Insured and the Warranty Plan. In the event of any dispute between the Warranty Plan and the Insured as to the liability of the Vendor to pay any monies received under the Purchase Agreement up to the Warranty Plan Coverage, resulting in the withholding by the Vendor or the Warranty Plan of any payment on account of such monies then in such circumstances no claim by the Insured shall be paid hereunder unless and until such dispute shall have been finally resolved by binding arbitration, final decision by the Warranty Plan or by the decision of an Québec court of competent jurisdiction.

4.4Claim under the Warranty Plan. The Surety shall not be required to render its decision on the Insured’s proof of loss until such time that it receives the decision by the Warranty Plan regarding the monies paid by the Insured under the Purchase Agreement that are subject to the Warranty Plan Coverage.

4.5Payment of Claims - Subject to the provisions of paragraphs 4.1, 4.2, 4.3 and 4.4., a decision by the Surety regarding any claim filed by the Insured hereunder shall be rendered by the Surety within sixty (60) days after an acceptable proof of loss has been submitted to, and accepted by, the Surety. Such proof of loss shall consist of such evidence as the Surety may reasonably require as to the payment of Deposits by the Insured under the Purchase Agreement and the termination of the Purchase Agreement, as well as the failure of the Vendor to pay the Deposits to the Insured and the amount of monies reimbursed by the Warranty Plan in accordance with the Warranty Plan Coverage.

5. RIGHTS OF SUBROGATION

Upon payment by the Surety of any claim hereunder, the Surety shall be subrogated to all rights of the Insured against the Vendor and/or of the Warranty Plan for recovery thereof, and the Insured shall execute and deliver to the Surety all such documents and instruments, and do such acts and things, as may be necessary or desirable to give effect thereto.

6. CESSATION OF LIABILITY

The Surety shall cease to be liable under this Policy from and after:

- (a) The execution, by the Insured, of a registrable deed or transfer of the unit(s) being purchased under the Purchase Agreement; or
- (b) the termination of the Purchase Agreement and the payment to or on behalf of the Insured of the Deposits due to such Insured; or
- (c) the termination of the Purchase Agreement by the Vendor under circumstances entitling the Vendor to retain the Deposits as its liquidated damages and if the Insured has not transmitted a Purchaser Enforcement Notice to the Vendor (as this term is hereinafter defined);
- (d) the payment by the Surety, in whole or in part, of the Deposits due under any claim arising from any default by the Vendor, after written notice of such claim has been given to the Surety as required by paragraph 4.1. hereof; or
- (e) a full and final settlement between the Vendor and the Insured regarding the dispute described in Section 4.2.; or
- (f) the Insured acknowledges in writing that he or she is not entitled to payment of the Deposits; or
- (g) the Insured acknowledges in writing that the Surety is no longer

liable under this policy; or

(h) a court of competent jurisdiction has made a final determination that the Insured is not entitled to the Deposits in respect of the unit being purchased under the Purchase Agreement.

7. NOTICES

All notices required or permitted to be given hereunder to the Surety shall be sufficiently given if sent by prepaid ordinary mail, or by facsimile transmission, at the address or facsimile transmission number of the Surety shown on the face hereof (or at such other address or facsimile transmission number as the Surety may from time to time designate by notice in writing to the Insured). All notices required or permitted to be given hereunder to the Insured shall be sufficient given if sent by prepaid ordinary mail, or by facsimile transmission, at the address or facsimile transmission number of the Insured as may be indicated or reflected in the Purchase Agreement (or at such other address or facsimile transmission number as the Insured may from time to time designate by notice in writing to the Surety). Every notice so mailed shall be conclusively deemed to have been given on the first business day following the date of such mailing [and every notice so faxed shall be conclusively deemed to have been given on the date of such facsimile transmission, provided that a confirmation of a successful facsimile transmission has been received by the transmitting party at the time of such facsimile transmission.

8. EXPRESS EXCLUSIONS OF SURETY COVERAGE

This Policy does not cover or protect the Insured against any other default, omission or construction deficiency of the Vendor under the Purchase Agreement nor under the future deed of sale and is limited only to the protection of Deposits in accordance with the terms hereto. As such, any other omission, mistake, deficiency, default or negligence claimed by the Insured towards the Vendor under the Purchase Agreement and its underlying memorandum and/or budget forecast is expressly excluded from the Policy.

In the event that a Purchase Agreement has been terminated by the Vendor under circumstances entitling the Vendor to retain the Deposits as its liquidated damages and should the Insured claim otherwise, he shall have to inform the Vendor of his request to either i) enforce the Purchase Agreement or ii) be reimbursed the Deposits within sixty (60) days of the receipt of the notice of termination issued by the Vendor (the “**Purchaser Enforcement Notice**”). At the expiration of this delay and without a Purchaser Enforcement Notice, the Surety shall consider that the Insured has forfeited the Deposits to the Vendor in accordance with the terms of the Purchase Agreement.

This Policy does not cover any amount not actually remitted by the Insured to the Vendor, its solicitor or trustee.

This Policy does not cover the monies remitted by the Insured under the Purchase Agreement, which are considered deposits between the Insured and the Vendor, that are covered by the Warranty Plan up to the Warranty Plan Coverage. As such, this Policy covers the monies remitted by the Insured under the Purchase Agreement in accordance with the terms hereto in excess to the Warranty Plan Coverage.

This Policy does not cover any monies remitted by the Insured which cannot be recovered under the Warranty Plan if such refusal is based on the Insured’s failure or default to respect any delay, notice or procedure required under the terms of the Warranty Plan.

In the event of a discrepancy between the internal records of the Surety regarding the Deposits and the proof of payments provided by the Insured, the Surety’s internal records shall supersede.

Travelers, the Vendor and the Insured declare having requested and they hereby confirm such request that this document be drafted in English; Travelers, le Vendeur et l’Assuré déclarent et confirment par les présentes avoir exigé que le présent document soit rédigé en anglais.